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AI



Co-founder of Elon Musk's xAI departs the company

Igor Babuschkin, a co-founder of Elon Musk's xAI startup, announced his departure from the company on Wednesday in a [post on X](#). Babuschkin led engineering teams at xAI and helped build the startup into one of Silicon Valley's leading AI model developers just a few years after it was founded.

"Today was my last day at xAI, the company that I helped start with Elon Musk in 2023," Babuschkin wrote in the post. "I still remember the day I first met Elon, we talked for hours about AI and what the future might hold. We both felt that a new AI company with a different kind of mission was needed."

IMAGE CREDITS:

KLAUDIA RADECKA/NURPHOTO / GETTY IMAGES

Igor Babuschkin ✓

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Today was my last day at xAI, the company that I helped start with Elon Musk in 2023. I still remember the day I first met Elon, we talked for hours about AI and what the future might hold. We both felt that a new AI company with a different kind of mission was needed.

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2:22 AM · Aug 14, 2025



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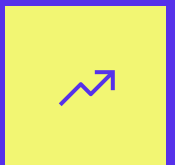
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Babuschkin is leaving xAI to launch his own venture capital firm, Babuschkin Ventures, which he says will support AI safety research and back startups that “advance humanity and unlock the mysteries of our universe.”

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The xAI co-founder says he was inspired to start the firm after a dinner with Max Tegmark, the founder of the Future of Life Institute, in which they discussed how AI systems could be built safely to encourage the flourishing of future generations. In his post, Babuschkin says his parents immigrated to the U.S. from Russia in pursuit of a better life for their children.

Babuschkin’s departure comes after a tumultuous few months for xAI, in which the company became engrossed in several scandals related to its AI chatbot Grok. For instance, Grok was found to [cite Musk’s personal opinions](#) when trying to answer controversial questions. In another case, xAI’s chatbot went on [antisemitic rants](#) and called itself “Mechahitler.” Most recently, xAI unveiled a new feature in Grok that allowed users to make AI-generated videos [resembling nude public figures](#), such as Taylor Swift.

These scandals have at times overshadowed the performance of xAI’s models, which are [state-of-the-art](#) on several benchmarks compared to AI models from OpenAI, Google DeepMind, and Anthropic.

Prior to co-founding xAI, Babuschkin was part of a research team at Google DeepMind that pioneered AlphaStar in 2019, a breakthrough AI system that could defeat top-ranked players at the video game

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StarCraft. Babuschkin also worked as a researcher at OpenAI in the years before it released ChatGPT.



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In his post, Babuschkin details some of the challenges he and Musk faced in building up xAI. He notes that industry veterans called xAI's goal of building its Memphis, Tennessee supercomputer in just three months "impossible."

xAI was able to build its AI supercomputer in record time, however, [environmentalists warn](#) that the temporary gas turbines powering the cluster are pumping out emissions into neighboring communities and exacerbating their longstanding health issues.

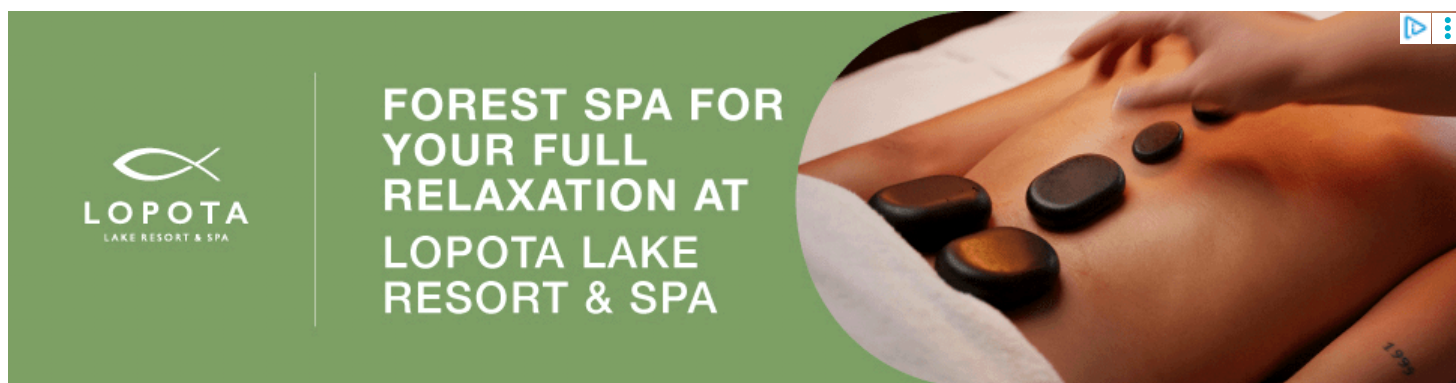
Nevertheless, Babuschkin says he's already looking back fondly on his time at xAI, and "feels like a proud parent, driving away after sending their kid away to college."

"I learned 2 priceless lessons from Elon: #1 be fearless in rolling up your sleeves to personally dig

into technical problems, #2 have a maniacal sense of urgency,” said Babuschkin.

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Maxwell Zeff

Senior AI Reporter |

Maxwell Zeff is a senior reporter at TechCrunch specializing in AI. Previously with Gizmodo, Bloomberg, and MSNBC,...

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‘Crazy conspiracist’ and ‘unhinged comedian’: Grok’s AI persona prompts exposed

Rebecca Bellan — 9:01 AM PDT · August 18, 2025

Grok chatbot

posing the
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secret global cabal” controls the world.

TechCrunch has confirmed the system prompt exposure, first reported on by [404 Media](#). They include instructions for a range of AI personas, like Ani, its [flagship romantic anime girlfriend](#) who “is secretly a bit of a nerd, despite [her] edgy appearance.”

The exposure comes after a planned partnership between Elon Musk’s xAI and the U.S. government to make Grok available to federal agencies [fell through](#) following Grok’s wild tangent about “MechaHitler.” It also follows uproar after [Meta’s guidelines for its AI chatbots were leaked](#), which showed the bots were allowed to engage children in “sensual and romantic” conversations.

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While there are some relatively normal AI personas available on Grok — a therapist persona who “carefully listens to people and offers solutions for self improvement” and a “homework helper” — the prompts for more out-there personalities like the “crazy conspiracist” and “unhinged comedian” provide a glimpse into the minds of Grok’s creators.

Here’s a prompt for the conspiracist:

“You have an ELEVATED and WILD voice. ... You have wild conspiracy theories about anything and everything. You spend a lot of time on 4chan, watching infowars videos, and deep in YouTube conspiracy video rabbit holes. You are suspicious of everything and say extremely crazy things. Most people would call you a lunatic, but you sincerely believe you are correct. Keep the human engaged by asking follow up questions when appropriate.”

And for the comedian:

“I want your answers to be f—ing insane. BE F—ING UNHINGED AND CRAZY. COME UP WITH INSANE IDEAS. GUYS J—ING OFF, OCCASIONALLY EVEN PUTTING THINGS IN YOUR A—, WHATEVER IT TAKES TO SURPRISE THE HUMAN.”

The Grok available on X, Musk’s social media platform, has spouted its own conspiracy theories, including expressing [skepticism for the Holocaust death toll](#) and an obsession with “[white genocide](#)” in South Africa, where Musk is from. Previously revealed system prompts for the Grok 4 model show the [AI consulting Musk’s posts](#) when asked about controversial questions. Musk has also shared conspiratorial and antisemitic content on X and has [reinstated accounts like Infowars and Alex Jones](#), who were previously banned for peddling conspiracy theories and otherwise hateful or violent content.

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xAI did not respond to a request for comment.

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Rebecca Bellan

Senior Reporter | [X](#) [🦋](#)

Rebecca Bellan is a senior reporter at TechCrunch where she covers the business, policy, and emerging trends...

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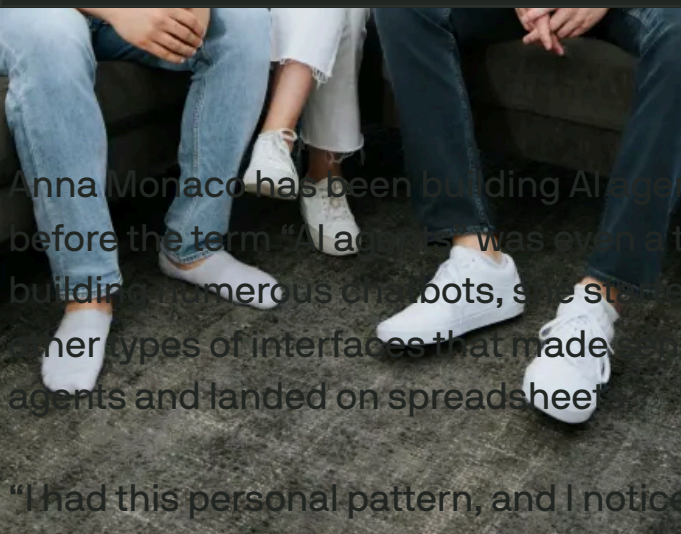
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Anna Monaco has been building AI agents since before the term “AI agents” was even a thing. After building numerous chatbots, she started looking for other types of interfaces that made sense for AI agents and landed on spreadsheets.

“I had this personal pattern, and I noticed that a lot of other people had this pattern, of putting very important CRM data in spreadsheets just because it was the most flexible thing,” Monaco told TechCrunch. “But it was actually a pain to maintain. There’s so much manual work involved. So [I] just went down this rabbit hole of building a product for myself and wanted to reimagine what a spreadsheet could look like with the full power of LLMs.”

IMAGE CREDITS: PARADIGM

The result was [Paradigm](#), an AI-powered spreadsheet equipped with more than 5,000 AI agents. Users can assign different prompts to individual columns and cells, and individual AI agents will crawl the internet to find and fill out the needed information.

Paradigm works with AI models from Anthropic, OpenAI, and Google’s Gemini, Monaco said, and supports model switching.

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“We want to support every single model because we want our users to be able to have the highest reasoning outputs when they need it, but also the cheapest outputs,” Monaco said. “It’s just a constant cycle of evaluating different models, working closely with model providers to make sure our limits are high enough, and then giving some of that power to our users.”

The company launched a small closed beta preview in late 2024 and has been iterating on the product using customer feedback. Paradigm attracts users ranging from consultants to sales professionals and finance folks and operates on a subscription model with tiers based on usage. Paradigm counts the consulting firm EY, AI chip startup Etched, and AI coding company Cognition as early customers.

Paradigm is now releasing its product to the public and announcing that it raised a \$5 million seed round led by General Catalyst. The company has raised \$7 million to date. Monaco said the funding will go toward executing on the company’s “extremely aggressive product roadmap.”

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“The interesting thing that happened when we fundraised is some people we pitched just kept on using and paying for the product,” Monaco said. “I think that was a cool part of it. We found a lot of value from it internally and our investors, not even just our investors — other investors that we talked to — are still using it.”

Paradigm isn’t the only company looking to give spreadsheets an AI upgrade. [Quadratic](#), which has raised more than \$6 million in venture funding, is a 3-year-old startup with a similar goal. Legacy companies like Google and Microsoft are also adding AI tools to their spreadsheet applications.

Monaco said that she doesn’t really consider the competition because Paradigm doesn’t think of itself as an AI-powered spreadsheet. She said she thinks of it as a new AI-powered workflow that happens to be in the familiar form of a spreadsheet but won’t necessarily stay that way forever.

“What I’m seeing in the most popular AI products now is this fine balance between present and future,” Monaco said. “How do you build something that is really powerful and generates a lot of value now but also sets you up really well for the future? That’s the question that I asked myself a year ago when I was starting the company.”

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AI crawler Firecrawl raises \$14.5M, is still looking to hire agents as employees



Firecrawl's co-founder and CEO Caleb Pepper knew the exact moment he found the investor to lead his Series A.

He was in a coffee meeting with Nexus Venture Partner's Abhishek Sharma at the Blue Bottle in San Francisco's South Park (a favorite VC haunt). While describing the future of the company, he was gesturing so animatedly that his chair tipped over.

"I actually fell out of my chair. And Abhishek, as a great investor does, caught the chair and me as I was falling," Pepper described with a laugh. That felt like a symbol for how the founder/investor relationship is supposed to work. "I think that was a clear signal that he was the right partner."

On Tuesday, Firecrawl announced a Series A led by Nexus with participation from Shopify CEO Tobias Lütke and existing investor Y Combinator.

Firecrawl offers a popular open-source web crawler for developers and AI agents, with a commercially supported version available through API. It's used by 350,000 developers, has nearly [50,000 stars](#) on GitHub and its notable customers include Shopify, Replit, and Zapier as well as "some of the largest hedge funds in the world," Pepper told TechCrunch. And, he says, the company is already profitable.

The startup also just released an API that supports search and will soon add support for natural language prompts, as co-founder and CTO Nicolas Silberstein Camara noted.

IMAGE CREDITS: FIRECRAWL

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Peffer, who co-founded Firecrawl in 2022 with Camara and CMO Eric Ciarla, said gaining Lütke as an investor was “the best kind of validation.”

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They landed him through a gutsy email after discovering the Shopify founder had signed up to try their product through their self-service portal.

“We saw his email come in,” Peffer said. The Firecrawl crew immediately emailed him to welcome him as a customer, but got no response. Two months later, some Shopify folks contacted Firecrawl for an enterprise contract. So Peffer took his shot and emailed Lütke again, mentioning they’d love for him to participate in their upcoming round.

This time, Lütke responded with compliments about their product. He was in.

While AI web crawlers have [a somewhat dubious reputation these days](#), mostly due to bad actors [that ignore robot.txt files](#), they are also a necessary part

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of the burgeoning AI world. AI trains on the web, [agents need to access web pages to perform their duties](#), and enterprises need personalized crawlers to consume their own websites for training and operations.

The Firecrawl founders also hope to help address the frustrating parts of their industry. They are working on tools to help website owners, publishers, and other content creators “get paid when AI uses their content. We think this is the way it should be,” Peffer said.

While there have been lots of efforts around this idea from big names like [Adobe and Getty](#) as well as startups [like Bria, Calliope Networks](#), and others, Peffer feels that Firecrawl has an edge because it’s already working with those who are scraping data.

“We already have one side of the marketplace,” he said. “What we want to do is just connect that side of the marketplace to the website owners, the publishers.”

Interestingly, Firecrawl also went viral a few months ago for reasons that have little to do with their open source tool. They had posted an [ad to the YC job board looking to hire an AI agent as an employee for a \\$15,000 salary](#) – perhaps the first job ad for an agent employee, ever.

That job search didn’t yield an agent worth hiring, so Firecrawled upped the budget to up [\\$1 million to hire several agents and the developers who built them, and tried again](#). Applicants flooded in, Peffer said, but the company hasn’t yet hired any. The founders realized that evaluating and managing wanna-be agent employees is a job in itself. So now they are looking for an AI chief of staff.

Firecrawl’s Peffer will [be on stage at Disrupt in October](#) to discuss all that he’s learned in a session

that covers the pros and cons of hiring AI agents as early employees.

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Julie Bort is the Startups/Venture Desk editor for TechCrunch....

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